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Abdoush v. Dandana

Café and Banquet, Inc., et al.,

Case No. 25PSCV02589

ORDER ON

DEMURRERS

1. Plaintiff and Cross-Defendant Philip

Abdoush's demurrer to Karam's Cross-Complaint is SUSTAINED with 30 days' leave to amend as to the first and second causes of action and SUSTAINED without leave to amend as to the third cause of action.

2. Plaintiff and Cross-Defendant Philip

Abdoush's demurrer to Wardeh's Cross-Complaint is SUSTAINED with 30 days' leave to amend as to the first and second causes of action and SUSTAINED without leave to amend as to the third cause of action.

Background

Cross-Complainants

Hani Karam and Rami Wardeh allege they, along with Cross-Defendants Abdoush and Manjah, each held a 25% ownership interest in Dandana Café and Banquet, Inc., a California corporation formed to purchase and operate the Dandana Restaurant. Although Abdoush was a "silent partner," he allegedly knew of Manjah's conduct during the restaurant's operation in 2022–2023, including nonpayment of performers, diversion of restaurant funds, and disparaging comments to the escrow company that resulted in cancellation of the pending sale. Karam and Wardeh allege they lost their investments and business interests as a result.

Abdoush

filed a First Amended Complaint asserting fraud, conversion, breach of fiduciary duty, and money had and received. Karam and Wardeh each filed separate, nearly identical cross-complaints alleging breach of fiduciary duty, fraud by concealment, intentional interference with contractual relations, and equitable indemnity.

1. Abdoush's Demurrer to Karam's Cross-Complaint

Legal
Standard

A demurrer tests the legal sufficiency of a pleading. The Court assumes the truth of properly pleaded factual allegations, but not contentions, legal conclusions, or allegations contradicted by judicially noticeable materials. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Vance v. Villa Park Mobilehome Estates* (1995) 36 Cal.App.4th 698, 709.)

A demurrer under Code Civ. Proc., § 430.10(e) must be sustained only where the complaint fails to allege facts sufficient to constitute a cause of action. Leave to amend should be granted if there is a reasonable possibility the pleading can be cured. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.)

Discussion

Abdoush

demurs, per Code of Civil Procedure section 430.10 et seq. to Karam's cross-complaint and the first, second, and third causes of action on the basis that they fail to state facts sufficient to constitute a cause of action for breach of fiduciary duty, fraud by concealment, and intentional interference with contractual relations.

First

Cause of Action: Breach of Fiduciary Duty

"The elements of a cause of action for breach of

fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.)

The cross-complaint alleges the parties were equal 25% shareholders in a California corporation. Under Corporations Code section 16202(b), co-ownership of a corporation—even where informally described as a “partnership”—does not create a legal partnership or attendant fiduciary duties between shareholders. Fiduciary duties are imposed on directors and officers, not merely shareholders. (Corp. Code, § 309.)

While Karam alleges Abdoush knew of and “approved” Manjah’s conduct, he does not allege that Abdoush was a director, officer, or otherwise owed him fiduciary obligations. Nor does he allege a pre-incorporation partnership agreement sufficient to overcome the presumption that incorporation extinguishes any partnership. (Eng v. Brown (2018) 21 Cal.App.5th 675, 704.)

Accordingly, the first cause of action fails to allege facts establishing a fiduciary relationship.

The demurrer to the breach of fiduciary duty cause of action is sustained, with 30 days’ leave to amend.

Second Cause of Action: Fraud by Concealment

“The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Karam alleges only that Abdoush “knew” of and failed

to disclose Manjah's conduct. He does not allege what Abdoush specifically concealed, when, under what circumstances, or how such concealment induced Karam to act. The allegations are conclusory and lack the particularity required for fraud.

Accordingly, the demurrer to the fraud by concealment cause of action is sustained, with 30 days' leave to amend.

Third Cause of Action: Intentional Interference with Contractual Relations

The elements of a cause of action for intentional interference with contractual relations are "(1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (I-CA Enterprises, Inc. v. Palram Americas, Inc. (2015) 235 Cal.App.4th 257, 289.)

The Court sustains the demurrer as to this cause of action for two independent reasons. First, there is no alleged contract between Karam and a third party. The contract alleged is between Fedail and Dandana, not Karam individually. A shareholder is not a party to the corporation's contract. Second, even if Karam were the contracting party, Abdoush is not a stranger to the contract. As a 25% shareholder of Dandana, Abdoush is part of the contracting entity. Parties to the contract cannot be liable for interfering with it.

Karam concedes in opposition that his pleading is defective and requests leave to amend to cure the deficiencies. However, Karam has not demonstrated how the deficiencies can be cured by an amendment.

Accordingly, the demurrer to the intentional interference with contractual relations cause of action is sustained, without leave to amend.

2. Abdoush's Demurrer to Wardeh's Cross-Complaint

The allegations in Wardeh's cross-complaint

materially mirror those in Karam's. The analysis above applies equally.

First

Cause of Action: Breach of Fiduciary Duty

The demurrer is sustained as to cause of action for breach of fiduciary duty for the same reasons stated with respect to Karam: shareholders do not owe each other fiduciary duties absent director/officer status or a surviving partnership agreement.

Accordingly, the demurrer to the breach of fiduciary duty cause of action is sustained, with 30 days' leave to amend.

Second Cause of Action: Fraud by Concealment

Wardeh alleges concealment but does not plead facts with specificity nor allege clear resulting damages. The allegations are conclusory and insufficient under Lazar and Tarmann.

Accordingly, the demurrer to the fraud by concealment cause of action is sustained, with 30 days' leave to amend.

Third Cause of Action: Intentional Interference with Contractual Relations

Wardeh alleges the same contract between Fedail and Dandana. As discussed above, he is not a party to the contract and Abdoush is not a stranger to it. Wardeh identifies no facts showing how amendment could cure these defects.

Accordingly, the demurrer is sustained as to the cause of action for intentional interference with contractual relations, without leave to amend.